

February 2, 2026

Council Communication

Re: Clean Water State Revolving Project (CWSRF) Plan and Funding Assistance Proposal

The Cadillac wastewater treatment plant has postponed several needed upgrades and consolidated a number of these projects into one project in the annual Capital Improvement Program. The plan was to pool these needed upgrades into one project, utilizing debt capacity created by upcoming final payments related to two existing debt issues (2026 and 2028) to fund the project. This would enable the department to make significant and much-needed upgrades to the wastewater facilities and equipment.

To maintain the ability to apply for the CWSRF funding, a project plan needs to be developed and submitted to the state by May 1, 2026. Fleis and VandenBrink (F&V) assisted the City in submitting a CWSRF Intent to Apply in October 2025, which positions the City to pursue funding through the Michigan Department of Environment, Great Lakes, and Energy for Fiscal Year 2027. This project plan would be valid for 5 years, so if the City chooses to apply at a later date this document would still be valid.

F&V has submitted a Proposal for Professional Engineering Services to prepare the Clean Water State Revolving Fund Project Plan. The Cost for this service is \$36,800.

Recommended Action:

It is recommended that City Council waive competitive bidding and approve an agreement with Fleis and VandenBrink to prepare a Clean Water State Revolving Project Plan and Funding Assistance for \$36,800. Funds are available in the Water and Sewer Fund.



January 8, 2026

Via Email: utilities@cadillac-mi.net

Mr. Jeffrey Dietlin, Director of Utilities
City of Cadillac
200 N. Lake Street
Cadillac, MI 49601

**RE: Proposal for Professional Engineering Services
City of Cadillac WWTP Improvements
Clean Water State Revolving Fund Project Plan and Funding Assistance**

Dear Mr. Dietlin:

We appreciate the opportunity to partner with the City to evaluate necessary improvements to the City's Wastewater Treatment Plant (WWTP) and prepare the materials needed to pursue subsidized financing through the Clean Water State Revolving Fund (CWSRF) program. This proposal outlines our services in developing a Project Planning Document that supports the City's funding application and defines the recommended project scope.

Fleis & VandenBrink (F&V) assisted the City with submitting a CWSRF Intent to Apply (ITA) in October 2025 and is prepared to proceed with the application requirements. The ITA positions the City to pursue funding through the Michigan Department of Environment, Great Lakes, and Energy (EGLE) for Fiscal Year 2027, with the Project Planning Document due by May 1, 2026.

F&V has supported communities across Michigan with similar planning efforts and funding applications, helping our clients secure more than \$1 billion in subsidized financing and grants. Our team is familiar with CWSRF requirements and the technical and administrative considerations that influence project scoring and eligibility. In addition, CWSRF Project Plans may be used to support applications to other programs, such as USDA Rural Development and the U.S. Economic Development Administration (EDA), if those options are determined to be beneficial.

STATEMENT OF UNDERSTANDING

The City is seeking a comprehensive review of the Wastewater Treatment Plant (WWTP) to identify recommended improvements, evaluate viable alternatives, develop preliminary opinions of probable cost, and prepare the materials needed to pursue subsidized funding.

Based on our recent meetings and correspondence, several key needs at the WWTP have been identified:

- **Headworks:** The existing headworks, constructed in the 1960s, contains aging and inefficient equipment, and the building is in poor condition. The City is interested in a new headworks facility that provides improved grit removal and more effective screening of rags and debris.
- **Aeration System:** Air is supplied to the activated sludge process through multistage centrifugal blowers, which can be energy-intensive and costly to operate. The City would like an evaluation of the existing blowers and an assessment of whether more efficient blower technologies could offer energy or long-term cost savings.

- **UV Disinfection:** The ultraviolet (UV) disinfection system, now 18 to 23 years old, has recurring issues with the pneumatic wiping system, UV intensity meter, and individual bank controls. These components require review to determine appropriate rehabilitation or replacement needs.
- **Solids Handling:** One of the primary clarifiers is currently used as a Waste Activated Sludge (WAS) holding tank, reducing available primary settling capacity. The City would like to evaluate other WAS thickening options to restore clarifier capacity and improve solids handling performance.
- **Biogas Utilization:** The City is interested in expanding the beneficial use of biogas produced through anaerobic digestion, including additional biogas storage and end-use equipment.
- **Site and Facility Improvements:** Several areas of the site require improvements to support safe operations and address aging infrastructure, including:
 - Concrete coatings in the primary clarifiers.
 - Railings around the aeration basins.
 - Building exterior repairs (e.g. roofing, brick façade, etc.).
 - Entrance modifications to the Lab/Administration Building.

The above items will be refined as additional information becomes available. The final scope of the recommended improvements will be identified through review of existing data, field observations, and discussions with WWTP operations staff. Given the comprehensive nature of the anticipated improvements, the City intends to pursue subsidized funding to support implementation.

SCOPE OF SERVICES

We have prepared a Scope of Services and Budget to assist the City in developing and submitting a Project Plan to EGLE to fund selected improvements through the CWSRF program. The major tasks required to complete the Project Plan have been identified based on EGLE guidance documents and are summarized in the attached outline.

In general, the Project Plan will include the following:

- **Project Background:** Summary of population trends, environmental setting, economic characteristics, and existing WWTP conditions to establish the basis for need.
- **Data Analysis:** Evaluation of current infrastructure performance, regulatory compliance status, and projected 20-year capacity and treatment requirements.
- **Alternative Analysis:** Identification and comparison of feasible alternatives, including cost-effectiveness, environmental impacts, implementability, and long-term sustainability.
- **Funding and Scoring Strategy:** Consideration of elements that support EGLE's Project Priority List scoring categories, including water quality benefits, asset management alignment, and disadvantaged community factors.
- **Public Engagement & Submission:** Facilitating the public meeting and submitting the application.

After the Project Plan is submitted, projects are ranked based on the EGLE Project Priority List scoring system that establishes points based on a variety of criteria. Projects are then funded on a points basis until available funds are exhausted. To be considered in this year's funding cycle, a Project Plan that supports the proposed improvements must be completed and submitted to EGLE by May 1, 2026.

Please note that our Scope of Services and Budget do not include costs associated with third-party or agency reviews. If EGLE determines that such reviews are required, we will provide a proposal for the additional services at that time.

We believe our extensive experience with WWTP process design will be valuable to the City. F&V specializes in serving small to medium-sized communities and has the largest wastewater treatment design group based solely in Michigan. Our engineering staff are experienced in developing and implementing practical, innovative solutions, and we will focus on meeting your expectations, delivering quality work, and completing the project in a timely manner.



SCHEDULE

We are prepared to begin work immediately upon authorization. Our schedule is structured to support timely data collection, coordination with City staff, and adequate review time prior to submittal. Based on an Authorization to Proceed date of January 30, 2026, the draft Project Plan will be provided in April 2026, followed by a public meeting in accordance with CWSRF requirements. The final Project Plan will be submitted to the City and EGLE by May 1, 2026, allowing the project to be considered in the current funding cycle.

BUDGET

We propose to provide the Scope of Services outlined above for a lump sum fee of **\$36,800**. This investment will support the City in pursuing low-interest financing and potential principal forgiveness (grants) through the CWSRF program. Planning costs may also be eligible for reimbursement if the project is selected for funding.

Authorization to proceed with these services under the terms and conditions of our existing Professional Services Agreement, executed on August 21, 2013, can be provided by returning a copy of this proposal, signed where indicated below.

We value our relationship with the City of Cadillac and look forward to working with your team throughout this project while contributing to the City's long-term wastewater infrastructure goals. If you have any questions or would like additional information, please feel free to contact me anytime by phone at 517.648.6595 or via email, jbenjamin@fveng.com.

Respectfully Submitted,

FLEIS & VANDENBRINK



Joseph M. Benjamin, PE
Sr. Engineer Manager, Sr. Associate

Enclosures: City of Cadillac CWSRF Project Plan Outline
Existing Professional Services Agreement

CC: Patrick Miller, City of Cadillac – Water Resource Supervisor
Matt Biolette, F&V

AUTHORIZATION TO PROCEED

Fleis & VandenBrink Engineering, Inc. (F&V) is hereby authorized to perform Services as detailed in this proposal under the terms and conditions of our Professional Services Agreement (PSA) executed on August 21, 2013

By: _____
Jeffrey M. Dietlin, Director of Utilities

Date

CITY OF CADILLAC
CLEAN WATER STATE REVOLVING FUND PROJECT PLAN OUTLINE
WWTP IMPROVEMENTS

I Project Background

- A. Study Area Characteristics
 - 1. Delineation of the Study Area
- B. Population Data
- C. Environmental Setting
 - 1. Cultural Resources
 - 2. The Natural Environment
 - 3. Land Use in the Study Area
 - 4. Surface and Ground Waters
- D. Economic Characteristics
- E. Existing Facilities
- F. Need for the Project
 - 1. Water Quality Problems
 - 2. Compliance Status
 - 3. Consent Orders
 - 4. Projected Needs for the Next 20 Years
 - 5. Future Environment Without the Proposed Project

II Analysis of Alternatives

- A. Identification and Evaluation of Potential Alternatives
 - 1. No - Action Alternative
 - 2. Optimize Performance of Existing Facilities
 - 3. Water and Energy Efficiency
 - 4. Regional Alternatives
- B. Analysis of Principal Alternatives
 - 1. The Monetary Evaluation
 - 2. The Environmental Evaluation
 - 3. Technical and Other Considerations
 - 4. Implementability and Public Participation

III Selected Alternative

- A. Description of the Selected Alternative
 - 1. Relevant Design Parameters
 - 2. Project Maps
 - 3. Controlling Factors
 - 4. Sensitive Features
 - 5. Mitigation of Environmental Impacts
 - 6. Schedule for Design and Construction

- 7. Cost Summary
 - 8. Project Delivery Method
- B. Authority to Implement the Selected Alternative
- C. User Costs
- D. Disadvantaged Community
- E. Useful Life

IV Environmental Impacts

- A. Analysis of the Impacts
 - 1. Direct Impacts
 - 2. Indirect Impacts
 - 3. Cumulative Impacts
- B. Description of the Impacts
 - 1. Beneficial and Adverse Impacts
 - 2. Short-Term and Long-Term Impacts
 - 3. Irreversible or Irretrievable Resources

V Mitigation

- A. General
- B. Short-Term Construction-Related Mitigation
- C. Mitigation of Long-Term Impacts
 - 1. General Construction
 - 2. Siting Decisions
 - 3. Operational Impacts
- D. Mitigation of Indirect Impacts
 - 1. Master Plan and Zoning
 - 2. Ordinances
 - 3. Staging of Construction

VI Public Participation

- A. Formal Public Meeting to Review the Project
 - 1. Public Meeting Advertisement
 - 2. Public Meeting Summary
 - 3. Comments Received and Answered
 - 4. Adoption of the Project Plan

PROFESSIONAL SERVICES AGREEMENT

FLEIS & VANDENBRINK ENGINEERING, INC.

3491 Hartman Road, Suite B, Traverse City, Michigan 49685
(231) 932-8600 fax (231) 932-8700

This Professional Services Agreement ("PSA") is entered into between Fleis & VandenBrink Engineering, Inc. ("Engineer") and City of Cadillac, whose address is 200 North Lake Street, Cadillac, Michigan 49601, ("Owner") where Engineer agrees to provide services for Owner and Owner agrees to pay Engineer, all in accordance with the terms of this PSA.

DESCRIPTION OF PROJECT AND SCOPE OF SERVICES: The description of the Project ("Project") and the scope of services ("Services") provided under this PSA is as follows: *Professional Engineering Services as detailed in Engineer's proposal letter dated July 1, 2013, and additional services as specifically authorized.*

AGREEMENT DOCUMENTS: All obligations covered under this PSA are governed by the Agreement Documents, which specifically include this PSA and all of the following documents, which are all incorporated herein by reference: Engineer's proposal letter dated July 1, 2013.

COMPENSATION OF ENGINEER: This contract is an Hourly Fee contract plus 1.1 times reimbursable expenses with an Estimated Fee of \$5,000-10,000. Authorized additional services will be provided on an hourly basis plus 1.1 times reimbursable expenses unless otherwise negotiated.

Owner shall Pay Engineer for all Services and reimbursable expenses on a monthly basis or as otherwise stated herein which shall be due and payable within fifteen (15) days of presentation of the invoice. Invoices shall be past due fifteen (15) days after presentation, and shall then incur interest at the rate of 7% per annum, or the highest rate permitted by law, whichever is lower. Reimbursable expenses include the cost of subconsultants.

PAYMENT. If Owner fails to make any payment when due, Engineer may suspend performance of Services hereunder until all past due amounts and accrued interest are paid. Engineer shall have no liability of any type as a result of suspension of services caused by Owner's failure to pay. The suspension of Services shall not limit any other remedy available to Engineer.

If Owner objects to any portion of an invoice, Owner shall notify Engineer in writing within five (5) days of presentation. Owner shall identify the disputed charges and shall pay when due that portion of the invoice not in dispute. If the disputed amount of the invoice is resolved in Engineer's favor and not paid by the invoice due date, interest as stated in the agreement shall be paid by Owner on the disputed amount from the original due date.

The Owner's Payment of Engineer's invoices shall not be subject to any right of setoff, and payment shall be due regardless of suspension or termination of this Agreement by either party. If any payment obligation is not paid when due, Owner agrees to pay all costs of the collection, including actual attorney's fees through all levels of appeal, whether or not a legal proceeding for collection is commenced as part of the collection process.

OWNER REPRESENTATIVE. The Owner's representative for this Project shall be **Director of Utilities** who shall have complete actual authority on behalf of the Owner and its governing body to make all decisions in connection with the PSA.

OWNER RESPONSIBILITIES. Owner shall timely provide Engineer with all applicable information in its possession and to secure information in the possession of others for Engineer to complete the Scope of Services. Owner shall give Engineer prompt oral and written notice whenever Owner notices, discovers or is made aware of any alleged fault, defect or nonconformance in Engineer's services.

CHANGES. For all services that were completed due to changes to the Description of the Project and/or the Scope of Services, Engineer shall be paid by Owner on an hourly basis at Engineer's customary hourly rates, plus 1.1 times reimbursable expenses, unless otherwise negotiated. If the construction period extends beyond the contracted period in the Scope of Services or the contracted completion date, all services of Engineer thereafter shall continue to be performed and shall be paid by Owner on an hourly basis plus 1.1 times reimbursable expenses. Owner understands and accepts that field techniques and analytical capabilities are evolving and that the standards and regulations are subject to rapid change such that currently acceptable investigative approaches and techniques may become superseded after the time of the signing of this PSA. Such changes will constitute changed conditions requiring adjustment in the Services and Engineer's Compensation.

DELAYS. Engineer shall not be responsible to Owner for any delay of any type or kind unless caused in whole by Engineer.

CONSULTANTS. Engineer may engage Consultants and subcontractors to perform, in its sole discretion, all or any portion of the Services.

COST ESTIMATES. Engineer has no control over the costs of labor and material for construction or over competitive bidding and market conditions. All cost estimates provided by Engineer are based on Engineer's experience and are considered opinions of probable cost. Engineer does not warrant the accuracy of any cost estimate. If project costs exceed the Owner's expectations and the Owner decides to re-design or re-bid any or all portions of the Work, all re-design, re-bid or other services provided by Engineer shall be paid by Owner on an hourly basis at Engineer's customary hourly rates, plus 1.1 times reimbursable expenses.

INDEMNITY. Owner indemnifies, defends and holds harmless Engineer and its agents, consultants and employees, from and against any claim, injury, damage, cost, expense or liability, regardless of the legal theory, including actual attorneys' fees, whether arising before, during or after completion of Services performed under the PSA, caused by, arising out of, resulting from or occurring in connection with the performance of the Services or any activity associated with the Services, whether or not caused in part by the active or passive negligence or other fault of Engineer excepting only injury to person or damage to property caused by the sole negligence of Engineer. In the case of claims against Engineer or any of its consultants, agents or employees by anyone for whose acts Owner may be liable, this indemnification obligation shall not be limited in any way by any limitation on the amount or type of damages, compensation or benefits payable under workers' compensation acts and/or disability benefit acts. This indemnity includes, but is not limited to, any claims resulting from interpretation of or changes to the documents prepared as a result of this PSA. This indemnity survives termination of this PSA.

In addition to the indemnity provided herein by Owner, Owner shall indemnify and hold harmless Engineer and its officers, directors, partners, agents, employees and consultants from and against any and all claims, costs, losses, and damages (including but not limited to all fees and charges of Engineer, architects, attorneys and other professionals, and all court, arbitration, or other dispute resolution costs) caused by, arising out of, relating to or resulting from any and all environmental contamination on the Project.

Engineer, to the extent covered by insurance, indemnifies, defends and holds harmless Owner and its agents and employees, from and against any claim, injury, damage, cost, expense or liability, arising out of or relating to the Services provided by Engineer for the Project, provided that any such claim, cost, loss, or damage is attributable to bodily injury, sickness, disease, or death, or injury to or destruction of tangible property other than the work itself, including the loss of use resulting therefrom, but only to the extent caused solely by any negligent act or omission of Engineer or Engineer's officers, directors, partners, employees or consultants.

To the fullest extent permitted by law, a party's total liability to the other party under the terms and conditions of this PSA including any indemnity, as well as to anyone claiming by, through or under the other party, for any cost, loss, or damages caused in part by the negligence of the party and in part by the negligence of the other party, and any other negligent entity or individual, shall not exceed the percentage share that the party's negligence bears to the total negligence of all of the responsible parties.

PERFORMANCE STANDARDS. In the performance of this PSA, Engineer shall exercise the ordinary standard of care of Engineers in the city, municipality or political subdivision where the Project is located.

LIMITATION OF LIABILITY. Engineer shall not be liable for any claim, damage, cost, expense or other liability not caused by negligent acts, errors or omissions of Engineer. The total liability of Engineer under any legal theory whatsoever, in the aggregate, as well as any claimed liability of Engineer's officers, directors, employees, or agents or consultants, for any claims arising out of the PSA, shall not exceed the fees actually paid by the Owner for the particular Service which forms the basis of the claimed liability.

Engineer makes no warranties, express or implied, with respect to the Services under the PSA, and disclaims any liability for implied warranties of any type or kind, including but not limited to implied warranties of fitness or merchantability, and disclaims any liability for special or consequential damages of any type or kind. Within these limitations, Engineer shall not be liable in any way for errors, omissions or negligence unless caused by the sole and exclusive negligence of Engineer. For all PSAs which involve multiple projects or general consultations, or various services for various projects over a period of time, liability shall not exceed the fee actually paid by the Owner for the particular Services on the specific Project or consultation or assignment which forms the basis of the claimed liability and any statute of limitations shall commence upon the completion of the task giving rise to the claim, not the last unrelated service provided under the PSA for general consultation services. To the extent that Engineer may be found liable under the terms of this paragraph, and only to such extent, Engineer's liability shall not exceed the percentage share of Engineer's responsibility.

INSURANCE. Upon Owner's request, Engineer will furnish Owner with a written statement of insurance coverage. No oral representations regarding insurance shall be binding.

SITE ACCESS. Owner shall be solely responsible for obtaining all site access, easements, and permission from third party property owners for Engineer to access the site to perform the Services herein. Owner is solely responsible for any claims arising from the disturbance of surface or subsurface soil or water conditions caused by the performance of Engineer's Services, excepting damages caused by the sole negligence of Engineer. Engineer will take reasonable precautions to avoid damage to underground structures and utilities. Owner indemnifies Engineer from any damage caused by or to underground structures and utilities not called to Engineer's attention, all in accordance with the indemnity provisions herein. Owner shall provide Engineer with a list of all known hazardous substances on site and a list of protective measures in case of exposure, all in compliance with the current Federal, State and Local Right to Know laws and Federal Hazard Communication Standards.

DRAWINGS, SHOP DRAWINGS AND SUBMITTALS. At all times, and for all purposes, Engineer is the sole and exclusive owner of all drawings and Contract Documents prepared by it and upon completion or termination, all such drawings and Contract Documents shall immediately be returned to Engineer. Engineer shall have no liability of any type or kind to any person for owner's use of any Engineer prepared drawings or Contract Documents following completion or termination. Engineer shall have no liability for erroneous record drawings or electronically manipulated drawings based on information provided by others. If shop drawing or submittal review is part of the Services Engineer provides, Engineer will review the shop drawings and submittals only for conformance with the design concept of the project and compliance with the Contract Documents. Unless specifically indicated in writing, this PSA does not include the preparation of record drawings.

CONSTRUCTION PHASE SERVICES. Unless specifically included in the Scope of Services, there are no construction phase services as part of this PSA and Engineer assumes no liability with regard to construction being in compliance with construction Contract Documents. Owner assumes all responsibility for construction observation and any errors discovered during construction while Engineer is not involved with the Project. If Engineer has no construction phase responsibilities, Owner assumes all responsibilities for document interpretation and, unless specifically indicated to the contrary in writing describing construction observation services and the resultant compensation, Owner waives any claim against Engineer in any way connected to document interpretation or construction observation or the lack thereof. Engineer does not warrant construction quality.

REJECTION OF WORK. In the event that the Scope of Services includes construction phase services in the form of site observation, then Engineer shall have the authority to reject any work which is not, in the judgment of the Engineer, in conformance with the Contract Documents, Plans and Specifications. Neither this authority nor Engineer's good faith judgment to reject or not reject any work shall subject Engineer to any liability or cause of action to any contractor, subcontractor, supplier, or Owner on the Project.

SPREAD OF CONTAMINATION. Owner understands and agrees that Engineer shall not be responsible for any claims or damages which may arise as a result of or from the spread of contamination caused by drilling, sampling or any other activity unless such spread or contamination is substantially caused by the negligence of Engineer. To the extent that Engineer may be found liable under the terms of this Paragraph, and only to such extent, Engineer's liability shall not exceed the percentage share of Engineer's responsibility.

FAILURE TO ENCOUNTER HAZARDOUS MATERIALS. Owner understands that the failure to discover hazardous materials does not guarantee that; (1) hazardous materials do not exist at the project site, and/or (2) that a non-contaminated site may later become contaminated. Although Engineer will use reasonable care and a level of skill ordinarily exercised by members of the profession currently practicing in the city, municipality or political subdivision where the Project is located under similar conditions, Owner agrees that Engineer shall not be responsible for the failure to detect the presence of hazardous materials through techniques and practices commonly used for those purposes.

PERMITS AND APPROVALS. Unless otherwise specifically stated in the Scope of Services, obtaining permits and approvals for the Project is the responsibility of the Owner. For an additional fee, Engineer may assist the Owner provided the assistance shall consist of completing and submitting forms as to the results of certain work included in the Scope of Services and the assistance does not include special studies, special research, attendance at meetings with public authorities, special testing or special documentation not normally required for similar projects. If Engineer participates in any way with any permitting process, Engineer provides no guaranty or warranty that any permits or approvals will be provided. Owner shall pay Engineer for all fees and reimbursable expenses under this PSA regardless of the outcome of approval or denial of permits or other approvals.

ADA AND CODE COMPLIANCE. The Americans with Disabilities Act ("ADA") provides that alterations to a facility must be made in such a manner that, to the maximum extent feasible, the altered portions of the facility are accessible to persons with disabilities. The Owner acknowledges that the requirements of the ADA will be subject to various and possibly contradictory interpretations. To the extent applicable, the Engineer will use its

reasonable professional efforts and judgment to interpret applicable ADA requirements and other federal, state and local laws, rules, codes, ordinances and regulations as they may apply to the Project. The Engineer does not warrant or guarantee that the Project will comply with all interpretations of the ADA requirements and/or the requirements of other federal, state and local codes, rules, laws, ordinances and regulations as they may apply to the Project. Owner shall pay Engineer its customary hourly fees plus 1.1 times reimbursable expenses for any design changes made necessary by newly enacted laws, codes and regulations, or changes to any existing laws, codes or regulations after the date that this PSA is last signed by the parties.

WAIVER. No delay on the part of any party hereto in the exercise of any right or remedy shall operate as a waiver of such right or remedy and a waiver on any one (1) occasion shall not be construed as a bar to or a waiver of any subsequent breach of the same or any other provision of the agreement on a future occasion. No waiver by Engineer of any breach by Owner of a provision of this PSA shall be deemed a waiver of any other provision hereof or of any subsequent breach by Owner of such provision.

ENFORCEABILITY. This agreement shall be binding upon the parties hereto and their respective successors and assigns.

SEVERABILITY. In the event that any one (1) or more provisions contained in the agreement shall be declared invalid, illegal or unenforceable in any respect, the validity, legality and enforceability of the remaining provisions of the agreement shall not be affected or impaired.

OWNERSHIP OF INSTRUMENTS OF SERVICE. Engineer's documents prepared pursuant to this PSA, including those in electronic format, are instruments of service. All reports, plans, specifications, computer files, field data, notes and other documents prepared by Engineer as instruments of service shall remain the property of Engineer. Engineer shall retain all common law, statutory and other reserved rights, including the copyright thereto and all other intellectual property rights. Owner shall not use or permit the use of said documents on any other project. Owner fully indemnifies Engineer against any and all claims for unauthorized use.

TERMINATION: This PSA may be terminated by either party upon seven (7) days written notice. Upon termination, Engineer shall be paid by Owner for all Services performed up to the notice of termination, as well as all costs necessary to demobilize from the site.

DISPUTE RESOLUTION: Claims and disputes arising out of or relating to this PSA involving claims in the aggregate of less than twenty-five thousand dollars, (\$25,000.00) without interest or attorneys fees and without consideration of counterclaims, shall be decided by a court of competent jurisdiction exclusively in Kent County, Michigan. Claims and disputes arising out of or relating to this PSA involving claims in the aggregate of greater than twenty-five thousand dollars (\$25,000.00) shall be decided by arbitration in accordance with the applicable rules of the American Arbitration Association. There shall be a single arbitrator. The award shall be final and binding and enforceable in a court of competent jurisdiction. In either arbitration or litigation, the prevailing party shall be entitled to recover its attorney's fees and costs through all levels of appeal. Jurisdiction, venue and the hearing locale for all arbitrations or litigation shall lie exclusively in Kent County, Michigan.

NO THIRD PARTY BENEFICIARIES. There are no third party beneficiaries to this PSA and the Services provided herein are exclusively for the direct benefit of the Owner indicated above. Owner shall ensure that all other agreements relating to this project reflect that there are no third party beneficiaries to this PSA.

ASSIGNMENT. This is a professional services contract and is non-assignable without the express written consent of Engineer.

MISCELLANEOUS. No additional or contrary terms, whether contained in an order, acknowledgment, or other document from Owner, shall be binding upon Engineer unless agreed to in writing signed by an authorized representative of Engineer, and Engineer expressly rejects all such additional or contrary terms as may be contained in Owner's documents. The terms in this PSA will have precedence over any other terms expressed by the Owner's authorization process such as a purchase order. Engineer's performance is conditioned on Owner's unmodified consent exclusively to this PSA. Engineer shall have the right to correct any errors, whether clerical or mathematical, which are contained in this PSA. Unless otherwise specifically indicated in writing or otherwise required by law and paid for by Owner, there are no Performance or Payment bonds required on this Project. This PSA shall be binding upon and shall inure to the benefit of the parties hereto and their successors and permitted assigns. This PSA shall be governed by the laws of the State of Michigan. This contract sets forth the entire agreement between Engineer and Owner. This is a fully integrated contract.

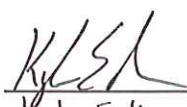
ELECTRONIC/FACSIMILE SIGNATURES. The signatures on this PSA shall be deemed to be original signatures when transmitted electronically or by facsimile machine or by any other medium. No party shall be required to produce a PSA with an original signature in order to enforce any provision of this PSA.

IN WITNESS WHEREOF, the parties hereto have made and entered into this PSA. To be valid, this PSA must be signed by an authorized representative of Fleis & VandenBrink Engineering, Inc.

OWNER
CITY OF CADILLAC

By: 

William Barnett
Title: Mayor

By: 

Kyle Ecker
Title: City Clerk

Date: August 21, 2013

ENGINEER
FLEIS & VANDENBRINK ENGINEERING, INC.

By: 

Brian L. Rice, PE
Title: Principal

By: 

James Brode, CPG
Title: Project Manager

Date: July 2, 2013
